

GO FIRST



FOUNDED

November 2005
as GoAir



INTERIM RESOLUTION PROFESSIONAL (IRP)

Abhilash Lal



BANKS' EXPOSURE

₹6,521 crore*



DEFAULTS TO OPERATIONAL CREDITORS

₹3,862 crore

(Vendors ₹1,202 crore+
Lessors ₹2,660 crore)



FLEET SIZE

59

(54 Airbus A320neo and
5 Airbus A320ceo)



GROUNDING AIRCRAFT

25 Airbus
A320neo



PASSENGER LOAD FACTOR

91.2%



MARKET SHARE

6.4%



ON-TIME PERFORMANCE

41.7%



NO. OF EMPLOYEES

7,000+

*Central Bank of India, Bank of Baroda, Axis Bank,
IDBI Bank, Deutsche Bank

Data till April 2023

Source DGCA, company, BT Research

N AVIATION INDUSTRY jargon, 'Mayday' is a distress signal made by aircraft during an emergency. It was Mayday on May 2 for Go First, the country's fourth-largest airline by market share (after IndiGo, Air India and Vistara), when it announced its decision to make a figurative emergency landing by filing a voluntary bankruptcy resolution application with the arbitration panel, the National Company Law Tribunal (NCLT). The Mumbai-headquartered airline claimed that technical glitches with next-generation geared turbofan (GTF) engines supplied by Pratt & Whitney (P&W) had hit normal operations, grounded its aircraft and led to mounting losses. The next day, the airline also suspended all its flights, leading aviation regulator Directorate General of Civil Aviation (DGCA) to issue it a notice under the relevant provisions of the Aircraft Rules, 1937, over failure to continue operations.

The news came even as India—often described as the world's fastest-growing aviation market—and, therefore, a bright spot in global civil aviation, registered a 43 per cent increase in domestic traffic from January to April 2023. Amid the hullabaloo generated by the development at Go First, hardboiled aviation industry insiders were left unfazed. "This problem has come purely due to lack of foresight, planning and wisdom from Go First management and lack of interest in running the airline on the part of the promoters," the CEO of an Indian carrier tells *Business Today* matter-of-factly over the phone. "Although P&W engines do have a history of early removal for maintenance due to various production, quality and performance-related issues, other airlines have done a far better job of managing those challenges." Several international carriers including Lufthansa, Hawaiian Airlines and Air Tanzania have reported problems with P&W's next-generation geared turbofan engines, especially under hot and dusty conditions, but none has grounded operations.

P&W officials tell *BT* that the company has been constantly working to improve the engine's lifespan: "As with any engine development programme, especially with the technology that's new and revolutionary like the geared architecture, we continue to develop solutions to improve engine durability." Maintaining that the Go First litigation was purely a commercial and contractual dispute, the officials say P&W is already complying with the Singapore